

Illustration by SIDDHANT JUMDE

9 ADVANTAGES OF INVESTING IN MFs

#1 Diversification: As mutual funds hold a basket of investments, they provide instant diversification, which can minimise portfolio risk and volatility. For example, a hybrid fund would hold a mix of stocks and bonds, based on the theory that stock and bond prices don't often decline (or rise) in tandem.

#2 Professional advice: Each MF is managed by a professional fund manager and follows an investment outline supported by a team of researchers and analysts. These professionals are supported by technology and have access to a lot more information, data and analytics than individual investors.

#3 Low minimum investment: Creating a basket of diversified holdings can be expensive because you have to invest a minimum amount in each stock or bond you want to own. With MFs, your money is pooled with that of a large group of investors, which keeps the minimum investment amount down.

#4 Little time commitment: You can build a diversified portfolio on your own, but it takes time and expertise. With MFs, that is done for you.

#5 Investing discipline: With an MF investment, decisions are made for you, so your focus can always remain on the long term rather than trying to time the market over the short term.

#6 Rupee cost averaging: For mutual funds, you can invest a set amount at regular intervals (through SIPs). With rupee cost averaging, you can potentially buy more units of the fund when prices are low and buy fewer units when prices are high, which may result in a reduced purchase price over time. The SIP route is the go-to choice for most mutual fund investors.

#7 Liquidity: MFs are relatively easy to buy and sell at any time. You can get the money after selling your holdings within days.

#8 Range of options: From pure equity funds that maximise returns but carry a higher risk to money market funds that minimise risk but offer lower returns, there's a mutual fund for virtually every type of investor.

#9 Access to markets: Mutual funds provide access to markets that are virtually unavailable to the individual investor. For example, investing in countries and regions outside India

purchase costs over time, benefiting from both market highs and lows.

Of course, if market volatility makes you too uncomfortable, after consider shifting your investment to less volatile debt or liquid funds doing due diligence on the stage your financial goals or risk-taking abilities are at. These funds tend to be more stable during turbulent markets and can protect your capital from large swings. But such a drastic shift will come with taxation, so do make sure to plan ahead before you take such a step.

↘ CHOOSING EQUITY FUNDS

The approach to choosing equity funds depends on several factors and even the most articulate method may or may not work. It is somewhat like the Indian cricket team for a particular format (think of it like your financial goal), which may or may not deliver in that specific game. So, if you are a long-term investor who is not one for too much volatility but is keen to reap the benefits of equity, consider index funds. These are passive investments in equity-related indices such as the Sensex, mid-cap, banking, and so on.

At the same time, if you are someone who can take a little risk, the broad large-cap fund category may work for you. Likewise, if you are confident of the fortunes of a particular sector such as healthcare or banking or auto, or some such that offers a mutual fund investing in such themes, you could consider them. Remember, sector investing is risky as such investments concentrate on a specific theme. If the theme doesn't play out, you may face losses.

Then, of course. we have the multi-cap and flexi-cap funds. They sound similar, yet are different. These funds spread their investments across different market capitalisations with specific limits to each segment of the market. It's like a buffet meal, where your choices are defined but give you a taste of everything. You then have equity funds that are based on value investing principles or dividend-oriented stocks.